OFFICIAL COMPLIANCE & ENGINEERING SPECIFICATION

Payroll Terms, Conditions & Tax Rules

Complete statutory formulas, 200-minute half-day rules, Sunday compensation, incomplete-month proration, modal stability architecture, and audit acceptance checklists.

HS Group Delhi • House of Surya **Effective Date:** October 2026 • **Version:** 2.4-Production **Jurisdiction:** India (EPFO, ESIC, IT Act)

1 Master Earnings & Allowances Architecture

Employee compensation is structured into nominal basic pay, fixed prorated allowances, and verified Sunday working allowances:

Earnings Component	Database Field	Type / Nature	Calculation / Rule
Nominal Monthly Base	`fullBaseSalary / baseSalary`	Fixed Monthly Basic	Nominal monthly remuneration for 100% full attendance.
Period Nominal Base	`periodNominalBase`	Prorated Period Basic	`round((baseSalary / totalDays) * periodDays)`.
Actual Earned Base	`earnedBaseSalary`	Net Attended Basic	`periodNominalBase - attendanceDeductions`.
House Rent Allowance (HRA)	`allowanceHRA`	Fixed Monthly Allowance	Profile configured; prorated proportionally for partial months.
Special Travel Allowance	`allowanceTravel`	Monthly Conveyance	Profile configured; prorated proportionally for partial months.
City Compensatory (CCA)	`allowanceCCA`	Cost-of-Living Supplement	Profile configured; prorated proportionally for partial months.
Performance Amount	`allowancePerformance`	Monthly Performance Pay	Profile configured; prorated proportionally for partial months.
Other Allowances + Sunday	`allowanceOther`	Special Allowance + Sunday Pay	Prorated base other allowance + verified **Sunday Attendance Pay**.
Discretionary Bonus	`bonus`	Monthly Incentive / Ad-hoc	Configured via Profile or Monthly Payroll Adjustments.
Overtime Pay & Shift Premia	*N/A*	PERMANENTLY REMOVED	Excluded from gross earnings, reports, and payslips per policy.

Total Monthly Gross Earnings Formula

```
Period Gross Earnings = periodNominalBase + earnedHRA + earnedTravel + earnedCCA + earnedPerformance + allowanceOther + bonus
Earned Gross Salary = earnedBaseSalary + earnedHRA + earnedTravel + earnedCCA + earnedPerformance + allowanceOther + bonus
```

Sunday Attendance & Working Salary Mechanism

For eligible employees whose weekly off is Sunday and who work on a Sunday:

1. **Exact Daily Rate:** `exactDailyRate = baseSalary / totalDaysInMonth`.
2. **Sunday Working Salary:** `sundaySalary = round(sundayPresentUnits * exactDailyRate)` (1.0 for full day, 0.5 for half day).
3. **Credited Under Other Allowances:** `allowanceOther = earnedBaseAllowanceOther + sundaySalary`. Added cleanly without salary duplication.

2 Incomplete Month Payroll Proration Formula

To eliminate salary leakage during ongoing months, payslips reflect the **actual payable salary for the elapsed period** rather than displaying an unearned full monthly salary.

Mathematical Formulation of Period Proration

```
Let T = Total calendar days in month (28, 29, 30, or 31).
Let D_elapsed = Days elapsed in the payroll period (or T for past completed months).

1. Daily Rate: exactDailyRate = nominalMonthlyBaseSalary / T
2. Eligible Paid Days: eligiblePaidDays = max(0, D_elapsed - absentDays - unpaidSundayDays - (0.5 * halfDays))
3. Prorated Nominal Base: periodNominalBase = round(D_elapsed * exactDailyRate)
4. Attendance Deductions: attendanceDeductions = round((absentDays + unpaidSundayDays + 0.5 * halfDays) *
exactDailyRate)
5. Actual Earned Base: earnedBaseSalary = max(0, periodNominalBase - attendanceDeductions)
6. Prorated Allowances: earnedAllowance = round((fullMonthlyAllowance / T) * D_elapsed)
7. Total Deductions: totalDeductions = attendanceDeductions + statutoryDeductions + adhocDeduction
8. Net Take-Home Salary: netSalary = max(0, periodGrossEarnings - totalDeductions)
```

3 The Standardized 200-Minute Half-Day Rule

The attendance classification engine strictly enforces a symmetrical **200-Minute Threshold** across arrival, early departure, and duration:

Attendance Category	Trigger Condition	Classification & Penalty
Punctual Arrival	Arrival ≤ shift start + grace (default ≤ 15 mins).	ON TIME • 1.0 paid day credit.
Grace Period Delay	Arrival between grace and 200m cutoff (< 200 mins).	LATE • 1.0 paid day credit; logged for punctuality.
200-Minute Late Arrival	Arrival ≥ Shift Start + **200 minutes** (e.g., ≥ 12:50 PM for 09:30 AM shift).	HALF DAY • 0.5 daily rate deducted.
200-Minute Early Departure	Clock-out ≤ Shift End − **200 minutes** (e.g., ≤ 16:10 PM for 19:30 shift).	HALF DAY • 0.5 daily rate deducted (Vipin Chandra Oct 9).
Short Working Duration	Total worked duration < 240 mins (4 hours / 50% of standard shift).	HALF DAY • Short shift penalty.
Missing Departure Punch	Clocked in morning, but missed departure punch on a past date.	HALF DAY • Single punch penalty (not full absent).
Missing Arrival Punch	Clocked out in evening, but missed arrival punch.	HALF DAY • Single punch penalty.
Unexcused Absence	No punch on a past scheduled workday without approved leave.	ABSENT • 1.0 daily rate deducted.

4 Master Deductions & Statutory Compliance

The deduction structure complies with Indian labour statutes while accommodating company-specific adjustments:

Component	Code Field	Statutory Identifier	Calculation Formula
Provident Fund (PF)	`deductionPF`	UAN No / PF Number	Fixed rate per profile (standard ₹1,800 or 12% ceiling).
Employee State Insurance	`deductionESI`	17-Digit ESI Number (`esiNo`)	Statutory contribution rate (0.75% of eligible gross).
Advance Salary	`deductionAdvance`	Company Ledger	Monthly recovery installment for advances taken.
Other Deductions	`deductionOther`	Company Ledger	Asset damages, loan recoveries, or misc deductions.
Tax Deducted at Source	`deductionTDS`	PAN Number	`round(earnedGrossSalary * (deductionTDS / 100))`.
Professional Tax (PT)	`deductionPT`	*N/A*	PERMANENTLY REMOVED across all payroll records.

5 The 2-Day Weekly Rule for Weekly Offs & Sundays

To discourage unapproved absenteeism surrounding weekly rest days, the 2-Day Weekly Rule operates as follows:

1. For every elapsed Sunday, evaluate the preceding 6 calendar days (Monday to Saturday).
2. Count scheduled working days with absence or leave (full absence = 1.0 unit, half-day = 0.5 unit).
3. If `leavesInWeek ≥ 2.0`, and the employee did **not** work on that Sunday, Sunday is classified as **Unpaid Sunday** (`round(1 * exactDailyRate)` deducted).
4. If the employee worked on that Sunday, Sunday is credited as an attended day and is not penalized.

6 UI Stability & Auto-Close Prevention

To prevent the Monthly Report and payslip preview drawer from auto-closing or resetting after 5–10 seconds:

- **Background Live Re-render Guard:** In `js/app.js`, background biometric synchronization events (`db_updated` and storage events) are exempted when viewing `#admin-reports` and `#admin-hours-balance`.
- **Persistent Modal State:** The inspection drawer remains open with `drawer.dataset.activeUserId` until explicitly closed via the new ✕ `Close` button.
- **Filter & Pagination Preservation:** Selected month, year, search queries, department filters, and current page are retained across all background events.

7 Explicit Payroll & Attendance Acceptance Checklist

HR administrators and Finance auditors must verify that every employee payroll complies with this 10-point checklist:

✓ **1. 200m Late Arrival Check:** Clock-in ≥ 200m after shift start marked Half Day.

✓ **2. 200m Early Departure Check:** Clock-out ≤ 200m before shift end marked Half Day.

✓ **3. Short Duration Check:** Total elapsed work < 240 mins (4 hours) marked Half Day.

✓ **4. Single-Punch Resolution:** Past missing in/out punches penalized as Half Day (not full absent).

✓ **5. Incomplete Month Proration:** Nominal base scaled strictly by (D_elapsed / T).

✓ **6. Half-Day Deduction:** Exact 0.5 × exactDailyRate deducted per occurrence.

✓ **7. Sunday Pay Under Other Allowances:** Sunday work credited under Other Allowances without duplicate basic pay.

✓ **8. 2-Day Weekly Rule:** Sunday penalized only if preceding weekly leaves ≥ 2.0 units and employee didn't work.

✓ **9. Legacy Concepts Excluded:** Overtime, Shift Allowance, and Professional Tax permanently removed.

✓ **10. Inspection Drawer Stability:** Monthly report and inspected payslips stay open indefinitely without closing.

8 Employee Verification Benchmarks (October 2026)

Calculations verified across actual employee attendance logs in the production database:

Employee	Full Base	Period Base (28d)	Present / Half / Absent	Half-Day Ded	Total Ded	Net Take-Home
Vipin Chandra (1128)	₹30,000	₹27,097	22P / **1H** / 2A	₹484 (Oct 9 early dep)	₹5,380	**₹21,717**
Deepak (3010)	₹28,000	₹25,290	28P / **3H** / 0A	₹1,355 (3 occurrences)	₹1,355	**₹27,548**
Gaurav Kumar (882)	₹30,000	₹27,097	25P / **1H** / 3A	₹484 (1 occurrence)	₹3,387	**₹27,581**
MANAV (660)	₹32,000	₹28,903	14P / **11H** / 9A	₹5,677 (11 occurrences)	₹19,096	**₹9,807**
Nitesh Sharma (1157)	₹47,000	₹42,452	24P / **2H** / 0A	₹1,516 (2 occurrences)	₹6,428	**₹36,024**
SHANU (641)	₹26,000	₹23,484	26P / **2H** / 2A	₹839 (2 occurrences)	₹2,516	**₹24,323**
Shyamal (1188)	₹28,000	₹25,290	27P / **2H** / 1A	₹903 (2 occurrences)	₹1,806	**₹27,097**
Sonu Nishad (1345)	₹25,000	₹22,581	14P / **3H** / 10A	₹1,210 (3 occurrences)	₹10,888	**₹13,306**
Sumit (835)	₹30,000	₹27,097	25P / **1H** / 2A	₹484 (1 occurrence)	₹2,419	**₹27,581**